

JEWELLERY

The Battle for Gold

With Novel Jewels, the Aditya Birla Group is set to compete with Tata group's Tanishq and Reliance Industries' Reliance Jewels

BY VIDYA S.



PHOTO BY CHANDRADEEP KUMAR

SHINING BRIGHT The domestic jewellery market, estimated at \$57 billion as of FY22, is expected to grow to \$91 billion by FY25

► BILLIONAIRE KUMAR MANGALAM

Birla-led Aditya Birla Group (ABG) is the latest conglomerate to take a shine to branded gold jewellery. In early June, the company announced that it would invest ₹5,000 crore to launch large-format exclusive jewellery retail stores called 'Novel Jewels' across India with in-house jewellery brands.

The new venture will compete

with the Tata group's Tanishq and Reliance Industries' Reliance Jewels in the nearly \$60-billion Indian gold jewellery retail market that is increasingly transitioning into an organised play. "The fight is really between the lakhs of unbranded jewellers spread across the country and these large players. That's where a large market opens up," says retail expert Harmindar Sahni,

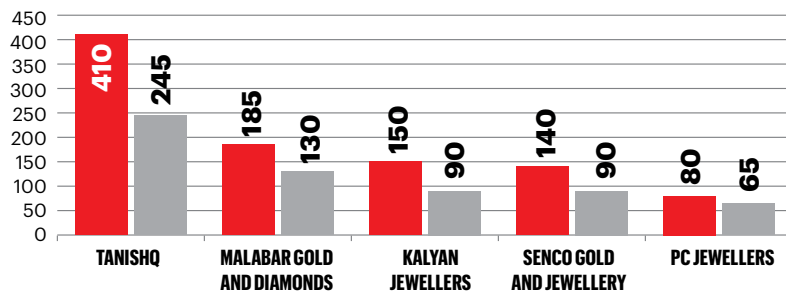
Founder & MD of Wazir Advisors.

The domestic market, estimated at \$57 billion as of FY22, is expected to grow to \$91 billion by FY25, according to a Technopak Analysis report from March 2022. It says 65 per cent of the domestic market is unorganised, comprising more than 500,000 local goldsmiths and jewellers. The remaining 35 per cent—mostly organised retail—comprises both national and regional players.

In terms of exclusive branded outlet count, Tata group firm Titan Company's Tanishq is India's largest organised jewellery business; in FY23, it contributed nearly 85 per cent to Titan Company's ₹40,575 crore net revenue. The chain has 400-plus exclusive boutiques in more than 240 cities. It plans to add space in 15 existing stores and add more than 40 new stores in FY24. Malabar Gold and Diamonds, Kalyan Jewellers and Reliance Jewels are also key players in the organised segment.

Over the years, India has transitioned from being an unorganised to an organised market. By 2025,

ALL THAT GLITTERS



■ Store count ■ City presence

Note: Approximate figures; data as of June 2023;

Reliance Jewels has nearly 415 exclusive stores and shop-in-shops across 200 cities

Source Company websites, annual reports, analysis by Wazir Advisors